

Standard & Poor's 500 change. The 13% rise in bull markets by the index wasn't enough to carry the pattern's average rise to peak performance. The falling market assisted downward breakouts, especially the 10% drop in bear markets.

Days to ultimate high or low. Compare the 58 days it takes scallops in bull markets to drop 16% with the 36 days it takes scallops in bear markets to drop 23%. Without doing the math, you can guess that the bear market velocity must be higher than the bull market. Indeed, it's 2.3 times faster. If the bull market were a car doing 55 mph, the bear market would whiz by at 126 mph.

How many change trend? This is a count of how many scallops see price move more than 20% after the breakout. For upward breakouts, values above 50% I consider good. However, the bear market downward breakout column shows the best performance of the group.

Table 59.3 shows failure rates for descending scallops. Of course, your eyes will search for the lowest rate in the table, and you will find it in the rightmost column: bear market, down breakout. Just 7% fail to see price drop more than 5%. This figure more than triples to 22% and posts a steep rise to 35% for declines measuring 10% and 15%, respectively.

Notice that for larger moves, over 20%, scallops with upward breakouts have lower failure rates.

What do the numbers mean? If you're courageous and experienced, trade this pattern in bear markets by shorting a stock. The table gives you a feel for how often a scallop will fail to cover your expenses and profit margin.